SBC · VCFO SUITE · ASK VCFO · FOR THE WHOLE TEAM · 11 NOVEMBER 2026

# Same AI, safer road: client data stays in India.

Ask VCFO is moving from Anthropic's own service to **Amazon Bedrock India**. It is the same Claude AI, now running inside Amazon's data centres in Mumbai and Hyderabad. This five-page guide shows why, what it fixes, and what it does not.

### Same Claude AI

Answers look and work the same. Only the route changes.

### Stays in India

Mumbai and Hyderabad only. Ask VCFO refuses any other setting.

### One company

Amazon, which already hosts VCFO Suite, instead of two.

A CORRECTION FIRST

## Is the Anthropic API illegal? No. Here is what actually matters.

Not illegal

**Not the issue: the DPDP Act**

India's data protection law allows sending data abroad unless the country is on a restricted list. No country is on it yet. Most DPDP duties start only around **13 May 2027**.

Problem today

**The issue today: client confidentiality**

A CA must not share a client's information with anyone without the client's consent (CA Act). The IT Act's rules also ask for consent before sensitive data goes abroad. We do not have that consent yet.

Applies

**Also new: Anthropic's own rules (from 12 November 2026)**

When AI gives tax or legal advice about a person's own situation, a qualified person must review it, and the person must be told AI was used. This applies on both roads.

## In one minute

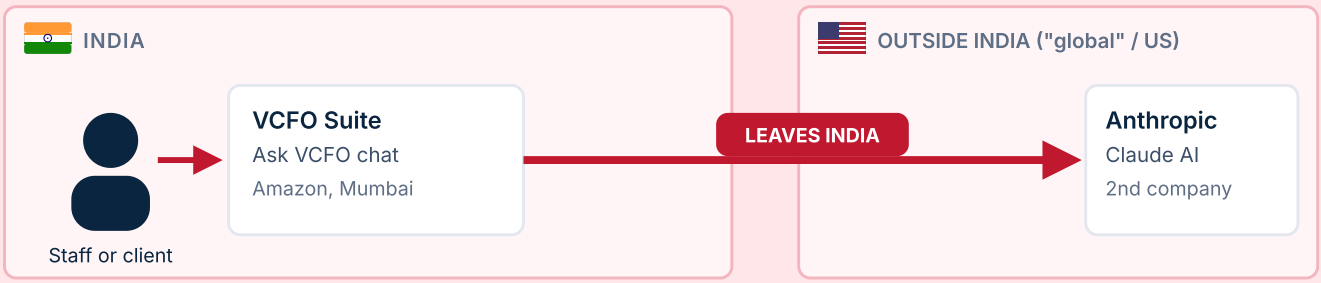
- **Today** Ask VCFO's questions are processed outside India and can be kept for up to 30 days.
- **Bedrock India** keeps processing in India, keeps nothing (retention "none"), and Anthropic cannot see the questions.
- **Still needed** client consent, a CA's review of AI advice, and a signed data contract with Amazon.
- **Until consent exists** client data stays switched off in Ask VCFO.

THE PICTURE

# Two roads for the same question

When someone asks Ask VCFO a question, the question travels to the AI and the answer comes back. The road it takes decides who sees it and where.

## ROAD 1 · TODAY · Anthropic's own service




## ROAD 2 · NEXT · Amazon Bedrock India




| | Road 1 · Today | Road 2 · Bedrock India |
|---|---|---|
| WHAT LEAVES INDIA | ✗ The question, and any client facts in it | ✓ Nothing. Processing stays in Mumbai and Hyderabad |
| WHO CAN SEE IT | ✗ Anthropic, a second company | ✓ Amazon only. Anthropic has no access |
| HOW LONG KEPT | ✗ Up to 30 days (flagged content longer) | ✓ Can be set to "none": nothing kept |
| USED TO TRAIN AI | ✓ No | ✓ No |
| COMPANIES | 2 Amazon (app) and Anthropic (AI) | 1 Amazon for both |

**How Ask VCFO knows to stay in India.** Amazon offers an "India profile": a setting that tells Amazon to run the AI only in Mumbai or Hyderabad. The AI model names in this profile start with `in.` (for example `in.anthropic.claude-sonnet-5`). Ask VCFO checks this before every question and refuses to run with any other setting.

Sources: docs/specs/ask-vcfo/BEDROCK-INDIA.md; AWS blog on India cross-region inference (29 Sep 2026); AWS Bedrock data retention docs

THE RULES

# What each rule says, on each road, now and from May 2027

Read across a row. Colour shows where we stand if client data were sent through Ask VCFO.

Problem today · Allowed with conditions · Fine · Later (from ~May 2027)

| RULE | ROAD 1 · TODAY (ANTHROPIC) · NOW | ROAD 2 · BEDROCK INDIA · NOW | BOTH ROADS · FROM ~13 MAY 2027 |
|---|---|---|---|
| **CA Act**<br>Second Schedule, Part I, Clause 1. No disclosure of client information without the client's consent. | Problem today<br>Client facts go to another company abroad, and no client consent is on file. | Needs consent<br>Better: one company, India only, nothing kept. But Amazon is still "another person", so consent is still needed. | No change<br>This rule does not end. Client consent stays the key, on any road. |
| **IT Act · SPDI Rules**<br>Sensitive personal data (such as bank or financial details) can go abroad only with consent, or if truly necessary. | Problem today<br>Data goes abroad. No consent on file. | Fine on transfer<br>Nothing goes abroad, so the overseas question does not arise. Normal care and consent rules still apply. | Ends ~May 2027<br>These rules give way to the DPDP Act. |
| **DPDP Act 2023**<br>India's new data protection law. Transfers abroad allowed unless the country is restricted. | Not illegal<br>No country is restricted. Most duties have not started yet. | Not illegal<br>Same, and simpler: data never leaves India. | Starts ~13 May 2027<br>Notice and consent from each person, a contract with every data processor, safeguards, breach reporting. Easier with one processor in India. |
| **Anthropic Usage Policy**<br>From 12 Nov 2026. AI tax or legal advice about a person's own case is "high risk". | Applies<br>A qualified person reviews the advice, and the person is told AI was used. | Applies too<br>Same Claude AI, same rule. Bedrock does not remove it. | Still applies<br>Built: "AI-generated" label and an "Ask my CA to confirm" button. Staff must actually review. |

## The short version

Today's problem is **consent**, not a ban. Road 2 removes the "goes abroad" part and the "second company" part. It does not remove the need for the client's permission.

## Why move now, not in 2027

The CA Act and the IT Act rules apply **today**. And in May 2027 the DPDP Act asks for a contract with each processor. One processor in India is the simplest place to be.

Sources: CA Act 1949 (Second Schedule); IT Act s.43A and SPDI Rules 2011; DPDP Act 2023 and Rules 2025; Anthropic Usage Policy

BE CLEAR ABOUT IT

# What Bedrock fixes, and what it does not

Bedrock is a safer road. It is not a permission slip.

## Bedrock fixes

- **Data leaving India.** The AI runs only in Mumbai and Hyderabad.
- **A second company seeing questions.** Anthropic has no access. Only Amazon, which already hosts VCFO Suite.
- **Copies kept for 30 days.** Retention can be set to "none".
- **Training worries.** Not used to train AI (also true today).
- **Wrong settings slipping through.** Ask VCFO refuses any setting that would send data abroad. It never falls back to the old road.

## Bedrock does not fix

- **Client consent.** Sharing client facts with Amazon's AI is still sharing. The client must agree.
- **CA review of AI advice.** Advice on a client's own tax or legal position still needs a qualified person to check it.
- **A signed data contract.** We still need Amazon's data processing terms in place and on file.
- **Wrong answers.** AI can be wrong on any road. A person checks before anyone relies on it.
- **Newest models.** India currently offers slightly older models (Haiku 4.5, Sonnet 5), so answer quality is re-checked after the switch.

## The three things that make it legal

Bedrock India is the road. These three are the licence to drive on it with client data.

Bedrock India + 1 · Client consent + 2 · CA review + 3 · Amazon contract

### 1

### Client consent

Each client agrees, in writing, that SBC may use an AI service run by Amazon in India for their work. Best placed in the engagement letter.

Owner + CS write the wording

### 2

### CA review

A qualified person checks AI advice about a client's own tax or legal position before the client acts on it, and the client is told AI was used.

Built in the app · every reviewer applies it

### 3

### Amazon contract

Amazon's data processing terms accepted and kept on file, covering Bedrock. The DPDP Act will ask for this from May 2027.

Owner signs and files

## What you will notice after the switch

**Same**

The Ask VCFO screens, buttons and labels. Nothing new to learn.

**Maybe different**

Wording and quality of some answers, because India runs slightly older models. We re-test before relying on it.

**Still off**

Client data in Ask VCFO, until client consent and the Amazon contract are in place.

Sources: docs/specs/ask-vcfo/PRIVACY.md; docs/specs/ask-vcfo/BEDROCK-INDIA.md; VCFO Assist legal review (10 Nov 2026)

WHERE WE ARE

# Who does what next

The software is ready. The rest is AWS setup, consent wording, and discipline until consent is in place.

| ✓ Software built | AWS setup | 3 Switch + re-check | 4 Client consent | 5 Client data on |
|---|---|---|---|---|
| and merged | Owner, next | answer quality | + Amazon contract | only then |

- [x] **Build the India-only road in Ask VCFO** — Done and merged. Ask VCFO refuses any setting that would send data abroad, and never falls back to the old road. — Dev · done
- [x] **"AI-generated" label and "Ask my CA to confirm"** — Done. Every AI answer is labelled; a client can send any answer to their CA for review. — Dev · done
- [ ] **Turn on Claude Haiku 4.5 and Sonnet 5 in Mumbai and Hyderabad** — In the Amazon (AWS) console, Bedrock, model access. Both regions. Steps in BEDROCK-INDIA.md, step 1 and 2. — Owner · AWS
- [ ] **Set data retention to "none" in both regions** — So Amazon keeps no copy of questions. BEDROCK-INDIA.md, step 3. — Owner · AWS
- [ ] **Deploy, check, and re-test answer quality** — India offers slightly older models, so the team's test questions are run again after the switch. — Owner + Dev
- [ ] **Write the client consent wording** — For the engagement letter: SBC uses an AI service run by Amazon in India; a CA reviews advice. — Owner + CS
- [ ] **Accept and file Amazon's data processing terms** — The signed data contract that covers Bedrock. — Owner
- [!] **Keep client data out of Ask VCFO until consent exists** — The owner keeps the client data switch off in production (`ASK_CLIENT_DATA_ENABLED=false`). Ask general questions only; do not paste client details into the chat. — Everyone · now

## You can use Ask VCFO today for

General law and procedure questions, the firm's own playbook, SPICe+ steps, due dates. No client names, numbers or facts.

## Please do not, yet

Paste client documents, director details, bank or ID numbers, or ask for advice on a named client's case.

**Research summary, not legal advice; a CS or advocate confirms.** This page summarises the firm's research and code review as of 11 November 2026. A practising Company Secretary or advocate should confirm the consent wording and the position under each rule before Ask VCFO handles real client data.